

# H1, 2024 RESULTS

*August 1st, 2024*

*Estelle Brachlianoff, CEO*  
*Claude Laruelle, CFO*



# AGENDA

- 1. H1, 2024 highlights**
- 2. Detailed H1, 2024 financial performance**
- 3. Appendices**



# **Estelle Brachlianoff**

## **CEO**



# Strong H1 results reflect the solidity of Veolia value creation model and the good start of GreenUp Strategic Program

1

## GROWTH

Strong commercial momentum  
**Boosters up +6.9% <sup>(1)</sup>**

2

## PERFORMANCE

Continued operational excellence  
€194m  
Accelerated synergy delivery €71m

3

## DYNAMIC CAPITAL ALLOCATION POLICY BOOSTING VALUE CREATION

~€700m of acquisitions signed  
~€1.0bn of asset divestment signed

## VERY STRONG H1 RESULTS

+4.4% <sup>(2)</sup> revenue excl energy prices  
+5.7% <sup>(2)</sup> EBITDA  
+15.2% <sup>(3)</sup> current net income

**GREENUP 24-27 : H1 2024 performance**  
fully in line with our strategic program

**FIRST COMPANY TO OBTAIN DOUBLE  
VALIDATION BY SBTi AND MOODY'S** for its  
climate commitments compatible with  
net-zero and 1.5° trajectory

**2024 AND GREENUP 2024-27 PERSPECTIVES FULLY CONFIRMED**

(1) at constant scope and forex and excluding energy prices

(2) at constant scope and forex

(3) at constant forex

# Very strong H1 2024 results, at the high end of the year's guidance

**Revenue €22,141M**  
**+4.4%<sup>(1)</sup>**

**EBITDA €3,266m**  
**+5.7%<sup>(2)</sup>**

**Current EBIT €1,730M**  
**+6.6%<sup>(2)</sup>**

**Current Net Income<sup>(3)</sup> €731M**  
**+15.2%<sup>(4)</sup>**

## Fully confirmed 2024 guidance

- Solid organic revenue growth<sup>(1)</sup>
- +5% to +6% EBITDA organic growth<sup>(2)</sup>
- Current Net income > €1.5bn<sup>(3)</sup>
- Leverage ratio < 3.0x<sup>(3)</sup>

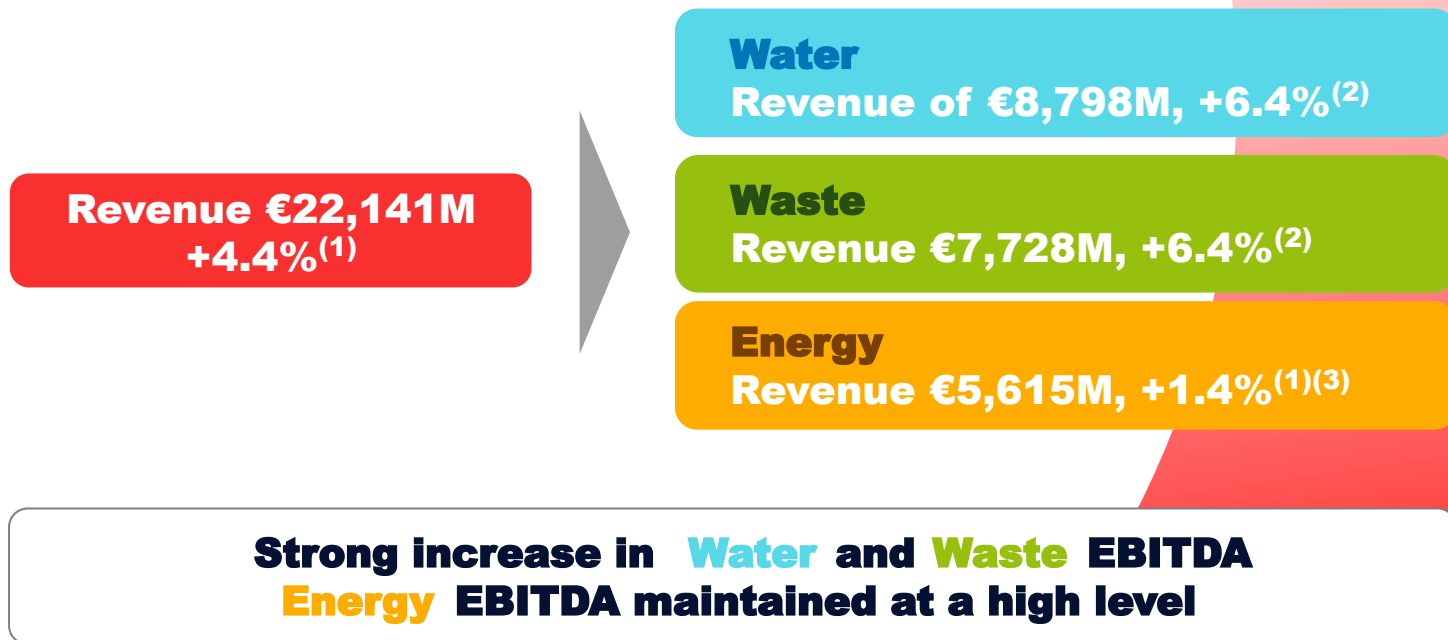
(1) at constant scope and forex and excluding energy prices

(2) at constant scope and forex

(3) before Suez PPA

(4) at constant forex

# Overperformance in Water and Waste with organic growth above +6%



(1) at constant scope and forex and excluding energy prices

(2) at constant scope and forex

(3) excluding energy prices and weather impact

# Veolia value creation : profitable long term growth

## Solid Fundamentals, Selective Growth & Performance Improvement

### 1. Growth

#### > Strongholds

**Water operations** ,  
**District heating & cooling Networks** ,  
**Solid waste**

Infrastructure-like essential services with high visibility

Customer retention >90% and NPS 53

#### > Boosters

**Water tech** ,  
**Bioenergies, Flexibility & Energy Efficiency** ,  
**Hazardous waste**

Mid to high single digit growth

Strong demand & barrier to entry



### 2. Performance

#### > Operational Excellence

#### > Cost efficiencies

€350M/year

including exiting low margin contracts

#### > Cost synergies of Suez merger

€500M cumulated 2022-25



### 3. Capital Allocation

> **Capex in new high value creating projects:** new hazardous waste treatment capacity, expansion in water tech & mobile units

> **Acquisitions:** accretive tuck-ins

> **Disposals:** either non strategic or mature assets

> **Strict investment discipline** targeting high quality projects complying with strict criteria in order to grow ROCE and FCF

- IRR > WACC+4%
- ROCE > WACC from year 3

### GreenUp 24-27 value creation objectives



**Solid organic growth <sup>(1)</sup>**



**EBITDA ≥ €8bn in 2027**



**~10% CAGR current net income 2024-2027 <sup>(2)</sup>**



**Dividend to grow in line with EPS**



**Leverage ≤ 3X**

(1) excluding energy prices

(2) at constant forex

# 1. Growth

# Strong revenue growth in H1

Boosted by Water technologies & Hazardous Waste

**Revenue**  
**€22,141M**  
**+4.4%<sup>(1) (2)</sup>**

► **Strongholds €15,468M, up +3.4% <sup>(1)(2)</sup>**

**(Water operations , District heating & cooling networks , Solid waste )**

► **Boosters €6,673M, up +6.9% <sup>(1)(2)</sup>**

**(Water Technologies , Bioenergy, Flexibility & Energy Efficiency , Hazardous waste )**

► **Booster Geographies +7.6% <sup>(1)</sup>**

- France performance improving
- Strong growth in our booster geographies :
  - Pacific +6.5%<sup>(1)</sup>
  - USA (incl. Water Tech) +7.9%<sup>(1)</sup>
  - Middle-East +8.5%<sup>(1)</sup>

(1) at constant scope and forex

(2) excluding energy prices

# Solid growth of Strongholds activities, up +3.4% <sup>(1)(2)</sup>

## Water Operations

Revenues €6,400M

### Excellent contract renewal, good indexation and targeted efficiency actions

- Sedif renewal (€4bn backlog over 12 years)
- New Saint Fons contract (€100M, France)
- Extension of New Orleans O&M (\$84M, US)

## District Heating and Cooling Networks

Revenues €3,509M

### Protected margin and solid operational performance despite lower energy prices and mild weather

thanks to pass through model and hedging policy

### Continued decarbonization

## Solid Waste

Revenues €5,559M

### Good commercial momentum in Municipal and C&I

- **UK municipal: 100% renewal rate & wins:** e.g. Camden, Haringey, Sutton, St Albans, Birmingham, Chesterfield, Westminster City Council
- **Quick integration of our new recycling assets in Germany**  
densification of network, volume internalisation & synergy ramp-up: target 2024 EBITDA €30M

(1) at constant scope and forex

(2) excluding energy prices

# Innovation and activities' combination supporting Strongholds growth



## New Saint Fons contract (France) : an innovative **Water/Energy** combination

- Innovation at the heart
  - Local green energy supply at secured price
  - Energy efficiency incl. sludge reuse
  - Micropollutant treatment (PFAS)
- €100M backlog



## 6-year extension of our **Water** O&M contract in New Orleans (US) inc. Hubgrade **Energy** efficiency

- 1st implementation of Hubgrade energy efficiency tool in the US for Municipal Water Business
- Enhanced efficiency of the WWTP
- \$84M backlog

# Superior Boosters growth, up +6.9% (1)(2), fueled by Water Technologies



**Water Technologies**  
Revenues €2,398M

## High level of bookings at June 30 including major contract wins in Q1

Growth driven by all activities and regions (notably North America and Middle-East)



**Bioenergy, Flexibility, Energy Efficiency**  
Revenues €2,107M

## Strong growth in Energy Services

Middle-East revenue +16%

New Energy Efficiency contract in Hong Kong : Prince of Wales Hospital : backlog €185M



**Hazardous Waste**  
Revenues €2,168M

## Continued strong growth notably in Northern Europe and US : resilient volumes, improved mix

and increased prices

## Ongoing Capex in new treatment facilities

in Germany, in the US and in the Middle-East to be commissioned in 2025/2026

(1) at constant scope and forex  
(2) excluding energy prices



## Example with Water Technologies

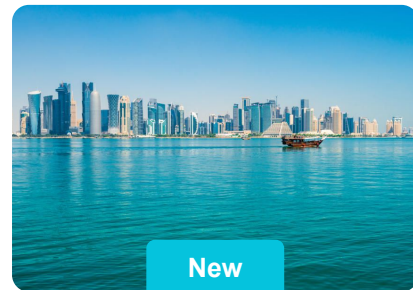
### → **Very strong H1 driven by all activities and regions**

- Water Technologies revenue up +15.5% and EBITDA up +31.3%
- High level of synergy delivery (VWT / VWTS)

### → **High level of bookings (€2.8bn) with:**

- Major contracts such as Hassyan : €296M desalination facility in Dubai
- Several €10-50M size projects notably in microelectronics, oil and gas, chemicals: e.g. Intel, LyondellBasell, Qatar Gas ...

### → **Strong pipeline including multiple large opportunities in core markets and growth markets**



New

### **Veolia paves the way for treated wastewater reuse in Katara Cultural Village in Qatar**

Inauguration of a pioneering facility for the reuse of treated wastewater. Between 5,000 and 15,000 cubic meters of fresh water saved per day.

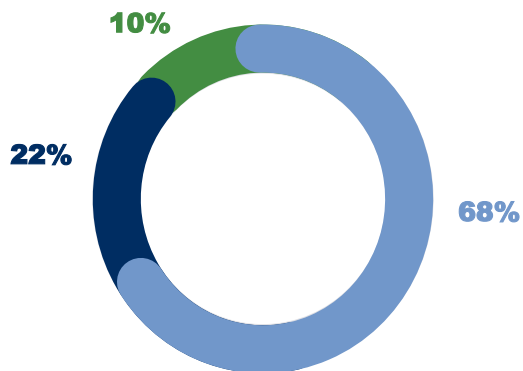
**Deep dive: Water Technologies and New Solutions**

**on 17 October 2024 in Hungary**

## **2. Performance**

# Efficiency plan delivering well

**Efficiency**  
**€194M delivered in H1 2024**  
ahead of the €350M annual objective



● Operational efficiency ● Procurement ● SG&A

- > **Operational efficiency: €132m of gains**
  - Digital and AI gains : customer service efficiency in water Spain (replicable)
  - Process optimization, energy efficiency
  - Commercial efficiency (upselling, sale process)
- > **Purchasing: €43m of gains vs. €37m in H1 2023:** Massification, contract renegotiation and price reductions in chemicals
- > **Specific action plan delivering strong results in France**

# Synergies ahead of target

## Cost Synergies €71M in H1 2024

€386M accumulated since merger with Suez,  
ahead of the year's target of €400M



● Operational efficiency ● Procurement ● SG&A

> **Ramp-up of procurement savings (52% vs 32% in H1, 2023) and Water Technologies synergies**

> **Continuation of initiatives in Australia** (e.g. internalisation of waste volumes), **USA** (e.g. procurement savings in fleet, insurance, IT), and **Spain** (e.g. real estate and facility management synergies)

# **3. Capital Allocation**

# Dynamic capital allocation policy boosting value creation

## €700m acquisitions and €1bn+ divestments <sup>(1)</sup>

### Capex



- **Water Technology plant expansion and mobile fleet roll out** with IRR>20%
- **Hazardous waste treatment capacity** under construction in USA, Germany, Saudi Arabia
- **Decarbonization** in Poland and Czech Republic with IRR>10%
- **US regulated water with guaranteed** with ROE >9%

### Acquisitions



- **Strategic Booster** : Uniper flexibility assets in Hungary : 430MWe, to be closed in Q4.
- **Bolt-on acquisition** of recycling assets in Germany providing synergies
- **Other tuck-ins** in Portugal, and in Brazil

### Divestitures

- **Non strategic assets (construction)** : SADE, sold to NGE for an EV of €260M. Annual revenue of €1bn
- **Non strategic assets : Regeneration services in the US sold to AIP for \$620M.** Sulfuric acid recycling business for refining industry, exposed to commodities and to macro. Annual revenue of \$350M
- **Suez antitrust divestitures:** Lydec in Morocco sold for antitrust purpose. Annual revenue of €650M
- **China asset rotation:** Haikou in China, minority stake in Chinese water concession

(1) signed as of August 1st

# **GreenUp Strategic Program**



# Strong H1 results confirming business model

Supporting our newly launched GreenUp strategic program



## **Essential services, “infrastructure-like”:**

full asset ownership or with >90% of renewal contracts.



## **Leadership wide position in environmental services**

TOP 3 of our businesses in all key countries.



## **Supportive megatrends**

decarbonization, decontamination, resource regeneration, health concern as a catalyst



## **Geographical revenue balanced footprint**

20% France, 40% Europe and around 40% outside Europe o/w more than \$5bn in the US.



## **A well-balanced and resilient set of business**

85% macro immune, with successful track record of adaptation.



## **Well protected against inflation**

70% of indexed tariffs and demonstrated a successful pricing strategy for 30%.

# Veolia : the reference ESG company

## New ambitious climate commitment approved by SBTi

### GreenUp accelerated decarbonization commitment

**-50%** scope 1&2 by 2032

**+50%** scope 4 by 2030

**NetZero** by 2050

### Recognition



SCIENCE  
BASED  
TARGETS

DRIVING AMBITIOUS CORPORATE CLIMATE ACTION



**Climate commitment and Net Zero approved <sup>(1)</sup> by SBTi, in line with 1.5°C trajectory**

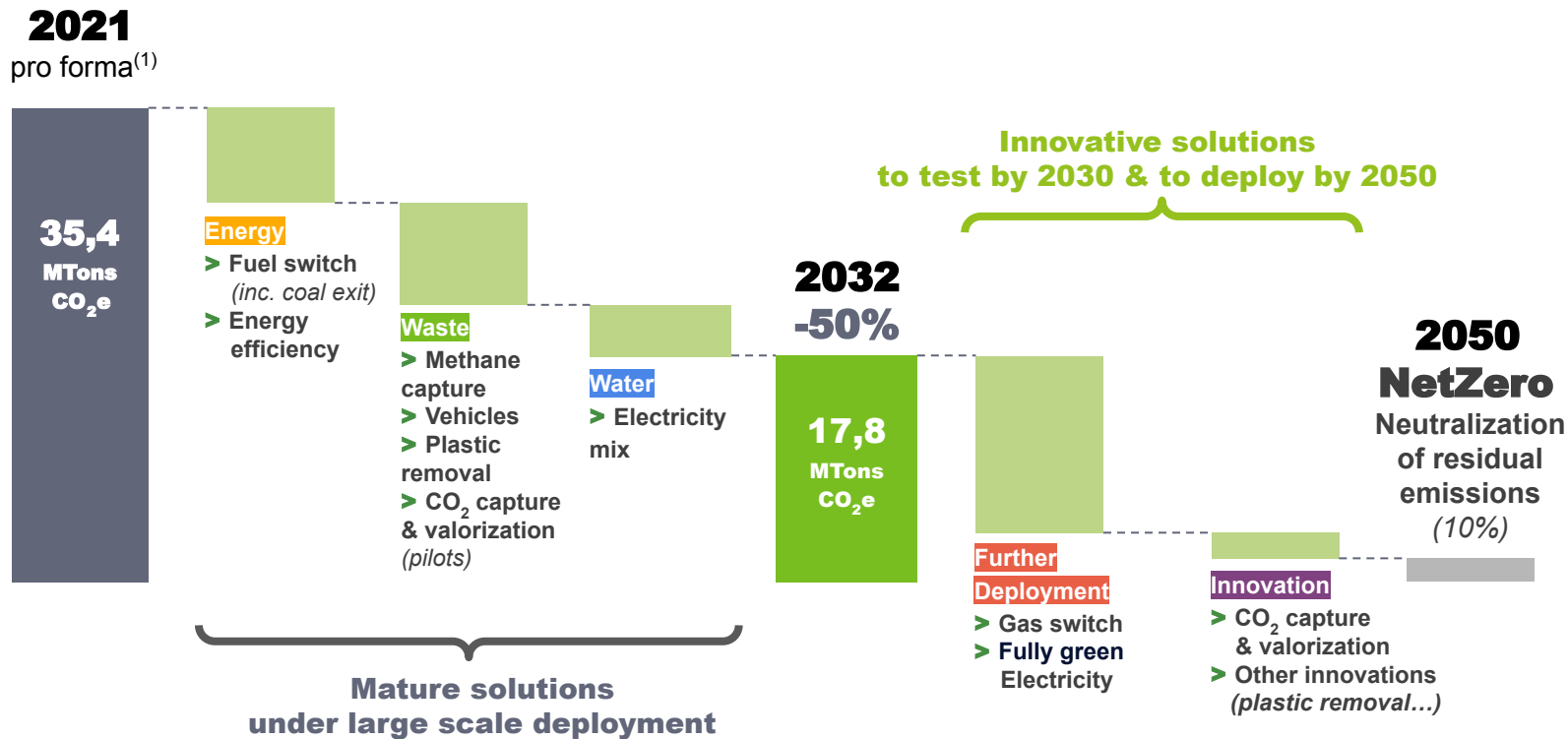


**NZ-2 net zero assessment (NZA) score assigned by Moody's**

(1) Including Scope 3

# New ambitious climate commitment approved by SBTi

## To reach NetZero by 2050 in our scopes 1 and 2



(1) The pro forma 2021 includes 2021 acquired Suez perimeter

# Veolia's unique positioning

on €2,500bn growing market of environmental services

## Combined businesses

**Best in class** in each activity and creating additional value **by bundling our 3 businesses**

## Market positioning

Positioned in **large growing markets** of largely **untapped solutions**

## Footprint & local anchoring

A **worldwide geographical footprint** in **44 countries**, combined with **strong local presence**

## Resilience & growth

Delivering **essential services** & operating **infrastructure**

## Track record

A **proven track record in delivering** : agility, operational excellence and financial discipline

## Expertise

An extensive **technological know-how** and **expertise** in **innovative solutions**

## Engagement

**89% engagement rate** of our workforce at all levels

# 2024-2027 roadmap : sustainable growth with high impact

## Decarbonization

**18 Mtons CO<sub>2</sub>e erased** in 2027 (scope 4)

& emission trajectory reduction compatible with 1,5°C (scope 1&2)

## Regeneration

**1.5bn m<sup>3</sup> fresh water saved** in 2027

## Depollution

**10 Mtons of hazardous waste & pollutants treated** in 2027



## Deep dives 2024

- **Energy @ Veolia**  
11 January 2024
- **Veolia in the U.S.**  
18-19 April 2024
- **Water Technologies and New solutions**  
17 October 2024 in Hungary

## ✓ Solid and resilient growth<sup>(a)</sup>

inc. **boosters** : bioenergy, flexibility & energy efficiency, water technologies, hazardous waste treatment

✓ **≥ €8bn EBITDA** in 2027

✓ **Leverage ≤ 3x**

✓ **Current Net income to grow ~10%<sup>(b)</sup> CAGR over 2023-2027**

✓ **Dividend to grow in line with EPS**

(a) excluding energy prices  
(b) at constant forex

# **H1 2024 Financial & Operational Performance**

**Claude Laruelle**  
**CFO**

# Strong H1 2024 results

Solid businesses, agility and operational excellence drive profit growth

| In €M                                         | H1 2023 | H1 2024 | Var. vs. H1 2023 at constant scope and FX |
|-----------------------------------------------|---------|---------|-------------------------------------------|
| Revenue                                       | 22,755  | 22,141  | +0.4%<br>+4.4% excl. energy prices        |
| EBITDA                                        | 3,162   | 3,266   | +5.7%                                     |
| EBITDA margin                                 | 13.9%   | 14.8%   | +90bp <sup>(4)</sup>                      |
| Current EBIT <sup>(1)</sup>                   | 1,674   | 1,730   | +6.6%                                     |
| Current net income group share <sup>(1)</sup> | 662     | 731     | +15.2% <sup>(2)</sup>                     |
| Net income group share <sup>(3)</sup>         | 523     | 651     | +24.6% <sup>(4)</sup>                     |
| Net industrial capex                          | -1,695  | -1,722  |                                           |
| Net Financial Debt <sup>(1)</sup>             | 19,233  | 19,891  |                                           |

## Forex exposure

- No transaction exposure
- Translation exposure only: revenues and costs in the same currency

(1) excluding PPA impact

(2) at current scope and constant forex

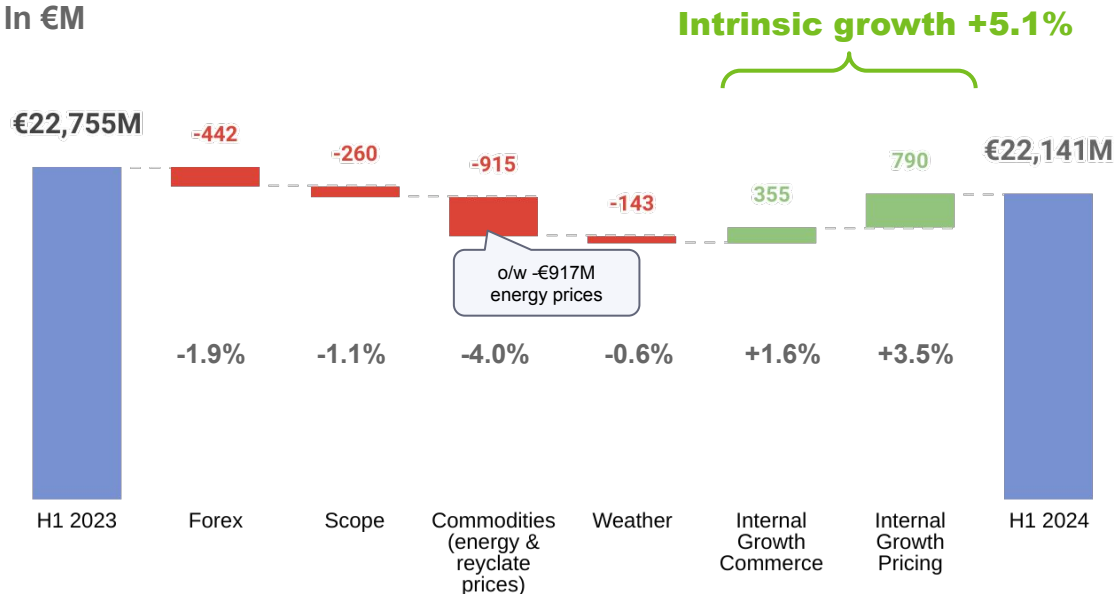
(3) impact PPA on net income of -€20M at 30 June 2024 vs. -€16M at 30 June 2023

(4) current variation

| FOREX impacts<br>(vs. H1, 2023)     | H1   | %     |
|-------------------------------------|------|-------|
| Revenue                             | -442 | -1.9% |
| EBITDA                              | -95  | -3.0% |
| Current EBIT                        | -63  | -3.8% |
| Current net income                  | -31  | -4.7% |
| Net financial debt<br>(vs. 12/2023) | 46   | 0.3%  |

# H1 2024 Revenue: €22,141M up +4.4% <sup>(1)</sup> excl. energy prices

In €M



## Evolution vs H1 2023

- **Forex** mostly Latam
- **Scope** of which Sade (-€368M) partially offset by acquisition in Germany (+€84M)
- **External factors**
  - Weather: continued negative impact in Q2 in CEE heating season ended very early
  - Lower electricity prices
  - Neutral impact of recycled materials
- **Intrinsic growth +5.1%**

(1) at constant scope and forex

# H1 2024 Revenue up +4.4% <sup>(1)</sup> excl. energy prices : solid growth in all geographies

## Revenue Evolution by Region vs H1, 2023

### Water Technologies +15.5% <sup>(1)</sup>

Revenue growth driven by all activities and regions

### Rest of the World +6.5% <sup>(1)</sup>

Solid growth in most geographies notably in our 3 booster geographies: USA, Middle-East, Australia

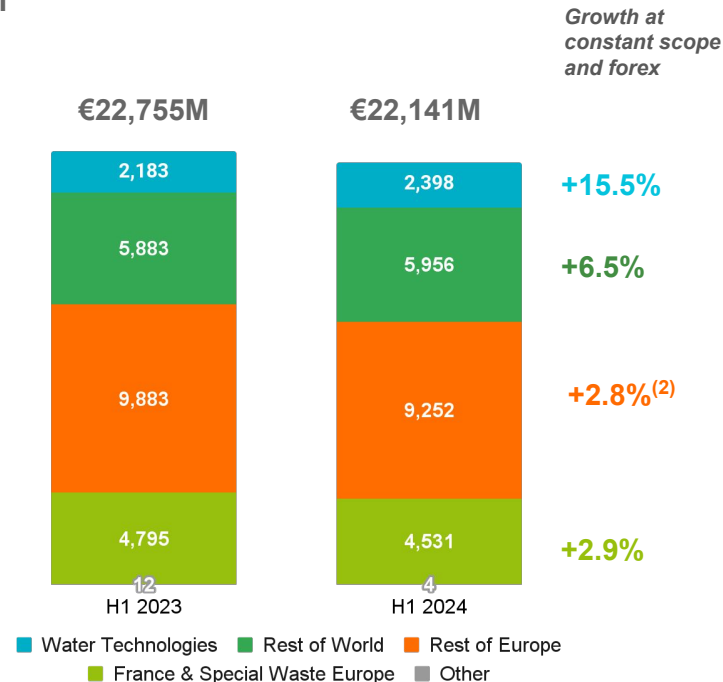
### Rest of Europe -7.7% <sup>(1)</sup> and +2.8% <sup>(1)(2)</sup>

Central Europe revenue decreased due to mild weather and lower electricity prices (with limited impact on EBITDA)

### France and Special Waste Europe: +2.9% <sup>(1)</sup>

Good indexations and pricing, strong commercial momentum with significant new wins in Water and Waste and excellent contract renewal

In €M



(1) at constant scope and forex

(2) excluding energy prices and weather impact

# H1 2024 Revenue up +4.4% <sup>(1)</sup> excl. energy prices : solid growth in all activities

## Revenue Evolution by Activities

### Water +6.4% <sup>(1)</sup>

- **Water operations** : high indexations and strong commercial momentum
- **Water Technologies** : growth driven by all activities and regions (notably North America and Middle-East)- Very high level of bookings in H1 (€2.8bn) with big wins in Q1

### Waste +6.4% <sup>(1)</sup>

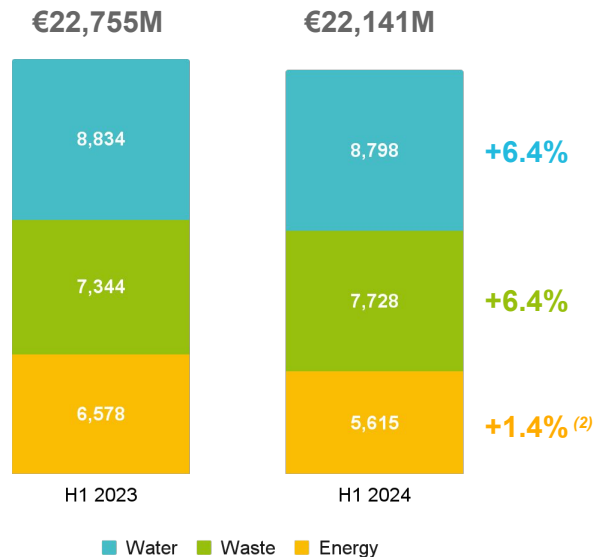
- **Solid waste** : good commercial momentum in municipal and in C&I, favorable pricing and indexation, improved recycled prices, high availability of ERF
- **Hazardous waste**: continued strong performance (outside Asia)

### Energy +1.4% <sup>(1)(2)</sup>

- Revenue decrease due to lower energy prices, with limited impact on EBITDA
- Strong commercial momentum in Energy services

In €M

Growth at constant scope and forex



(1) at constant scope and forex

(2) excluding energy prices (-13.7%) and weather impact (-2.2%)

# Water revenue of €8,798M up +6.4% <sup>(1)</sup>

| <i>Variation vs. H1, 2023</i>            | <b>H1, 2024</b> |
|------------------------------------------|-----------------|
| <b>Commerce/Volumes/Works</b>            | <b>+2.2%</b>    |
| <b>Price effect</b>                      | <b>+4.2%</b>    |
| <b>Growth at constant scope &amp; FX</b> | <b>+6.4%</b>    |
| Scope effect <sup>(2)</sup>              | -4.1%           |
| <b>Growth at constant FX</b>             | <b>+2.3%</b>    |

## Evolution vs H1 2023

- **Good volumes despite rainy weather in France and water restrictions in Spain**
- **Strong activity in Water Technologies**
- **Good tariff indexations in all geographies** including +4.6% in France and high single digit increases in Central Europe

(1) at constant scope and forex

(2) includes SADE divestment

## Waste revenue of €7,728M up +6.4% <sup>(1)</sup>

| Variation vs. H1, 2023                   | H1 2024      |
|------------------------------------------|--------------|
| Commerce/Volumes                         | +1.4%        |
| Price increases                          | +5.0%        |
| Recycled materials prices                | 0.0%         |
| Energy price impact & other              | 0.0%         |
| <b>Growth at constant scope &amp; FX</b> | <b>+6.4%</b> |
| Scope effect <sup>(2)</sup>              | +1.4%        |
| <b>Growth at constant FX</b>             | <b>+7.8%</b> |

### Evolution vs H1 2023

- **Strong commercial momentum in Europe (France, UK, Germany)**
- **Continued selectivity in municipal collection and good commercial momentum in C&I (UK notably)**
- **Start of recovery of recycled material prices, however limited impact**
- **Hazardous waste : continued momentum and price increases outside Asia**

(1) at constant scope and forex

(2) includes Hoffman acquisition in Germany

# Energy revenue of €5,615M impacted by energy prices, as anticipated, with limited impact on EBITDA sustained at a high level

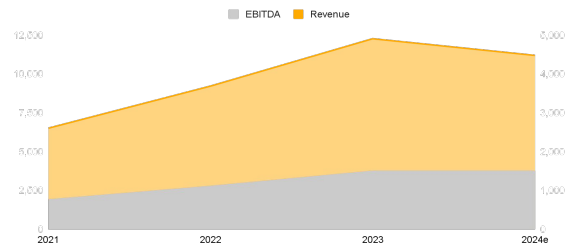
| Variation vs. H1, 2023        | H1 2024 |
|-------------------------------|---------|
| Commerce/Volumes/Works        | +0.9%   |
| Weather                       | -2.2%   |
| Energy prices                 | -13.7%  |
| Other                         | +0.5%   |
| Growth at constant scope & FX | -14.4%  |
| Scope effect                  | -       |
| Growth at constant FX         | -14.4%  |

## Evolution vs H1 2023

- Strong commercial momentum in Energy efficiency services
- Revenue decrease due to lower energy prices, with limited impact on EBITDA
- Negative climate effect
- Continued heat price increase in 2024

## Resilient Energy EBITDA

Energy Revenue and EBITDA



# H1 2024 EBITDA up 5.7% <sup>(1)</sup>: Increase in all geographies

## EBITDA Evolution by Region vs H1, 2023

**Water Technologies EBITDA up +31.3% <sup>(1)</sup> to €279M**

- Strong performance in all activities: projects, chemicals, services and synergy delivery

**Rest of the World EBITDA up +11.5% <sup>(1)</sup> to €926M**

- Notably in our key geographies North America, Africa Middle East and Pacific
- Slight recovery in China

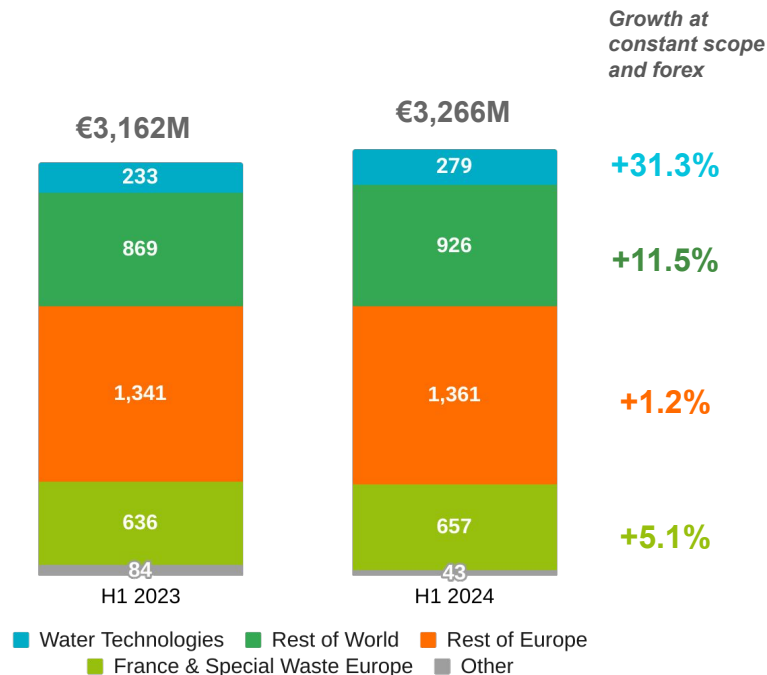
**Rest of Europe EBITDA up +1.2% <sup>(1)</sup> to €1,361M, driven by Central Europe**

- Good Water and Waste performance offset by adverse weather impact

**France and Special Waste Europe EBITDA up +5.1% <sup>(1)</sup> to €657M**

- Improved EBITDA in France thanks to targeted efficiency actions and better waste volumes

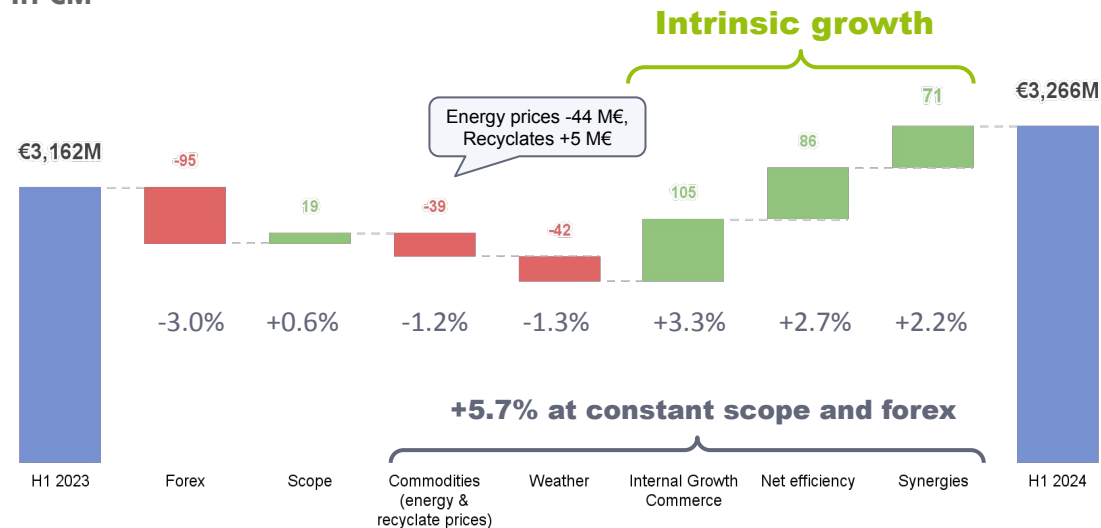
In €M



(1) at constant scope and forex

# H1 2024 EBITDA of €3,266M, up +5.7% <sup>(1)</sup>

In €M



## Evolution vs H1 2023

### Forex

- Mostly Latam

### Scope

- Inc. Sade (-€12M) partially offset by Hofman in Germany (+€14M) and few other tuck-ins

### External factors

- Weather : mildest winter in CEE in the last 30 years
- Commodities prices : energy -€44M and recycle +€5M

### Intrinsic growth +8.2%

- Strong commerce, better waste volumes
- Good efficiency gains retention rate of 44%
- Synergies ahead of schedule

(1) at constant scope and forex

## Current net income - Group share <sup>(1)</sup> of €731M, up +15.2% <sup>(4)</sup> Perfectly on track to deliver annual target above €1.5bn

| In €M                                                                   | H1, 2023     | H1, 2024     | Variation                   |
|-------------------------------------------------------------------------|--------------|--------------|-----------------------------|
| <b>EBITDA</b>                                                           | <b>3,162</b> | <b>3,266</b> | <b>+5.7%<sup>(2)</sup></b>  |
| Renewal expenses                                                        | -153         | -154         |                             |
| Amortization <sup>(1)</sup> including OFA repayment                     | -1,481       | -1,528       |                             |
| Industrial capital gains net of provisions, asset impairments and other | +93          | +98          |                             |
| Share of current net income of JV and associates                        | +53          | +49          |                             |
| <b>Current EBIT<sup>(1)</sup></b>                                       | <b>1,674</b> | <b>1,730</b> | <b>+6.6%<sup>(2)</sup></b>  |
| Cost of net financial debt <sup>(1)</sup>                               | -312         | -331         |                             |
| Other financial income and expense                                      | -120         | -177         |                             |
| Net financial capital gains <sup>(3)</sup>                              | -3           | +53          |                             |
| Income tax expense <sup>(1)</sup>                                       | -332         | -321         |                             |
| Non-controlling interests                                               | -245         | -223         |                             |
| <b>Current net income – Group share <sup>(1)</sup></b>                  | <b>662</b>   | <b>731</b>   | <b>+15.2%<sup>(4)</sup></b> |

(1) excluding Suez PPA

(2) at constant scope and forex

(3) including taxes and minorities

(4) at current scope and constant forex

### Evolution vs H1 2023

#### EBITDA to Current EBIT

- Higher amortization due to the ramp-up of contracts, notably Tashkent

#### Current EBIT to Current Net Income

- Financial charges
  - Cost of debt: stable net cost of financing at 3.83% excluding one offs
  - Other financial charges: favorable one off items in H1 2023 partially reversed in H2
- Higher net financial capital gains (Sade disposal)
- Current tax rate of 26.2% vs. 28% in H1 2023

**Current net income up +15.2%<sup>(4)</sup> to €731M, including -€31M of negative forex impact**

# Net income - Group share <sup>(1)</sup> of €651M, up +24.6% <sup>(2)</sup> vs. June 2023

| In €M                                                  | H1, 2023   | H1, 2024   | Variation                    |
|--------------------------------------------------------|------------|------------|------------------------------|
| <b>Current net income – Group share <sup>(1)</sup></b> | <b>662</b> | <b>731</b> | <b>+15.2% <sup>(3)</sup></b> |
| Suez acquisition and integration costs                 | -55        | -13        |                              |
| Restructuring charges                                  | -37        | -33        |                              |
| Non current impairment (incl. GW), PPA and other       | -47        | -34        |                              |
| <b>Net income – Group share <sup>(4)</sup></b>         | <b>523</b> | <b>651</b> | <b>+24.6% <sup>(2)</sup></b> |

Strong decrease of non recurring charges from -€139M to -€80M thanks to lower Suez acquisition and integration costs

(1) before Suez PPA

(2) at current forex and scope

(3) at constant forex

(4) after Suez PPA impact of -€16M in H1 2023 and -€20M in H1 2024

# Well controlled capex and net financial debt

## Net capex of €1,722M vs. €1,695M in H1, 2023

Growth capex include €102M of decarbonization capex and €86M of Hazardous waste projects

**WCR seasonal variation of -€998M vs. -€821M in H1 2023** due to high advance payments received in Water Technologies & Germany in H1 2023 and timing of CO2 payments

**Improvement of Net FCF in Q2 of +€389M, reaching -€284M end of June**

**Net financial debt of €19.9bn<sup>(1)</sup> at 30/06/2024** includes seasonal WCR reversal, hybrid debt repayment and M&A

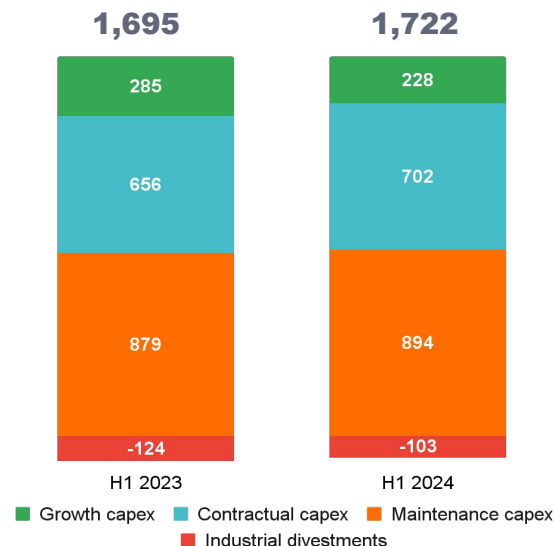
**Confirmed expected leverage ratio <3x at year-end**

**Strong Investment grade rating confirmed in April 2024 by rating agencies**

- Moody's: P-2/ Baa1 stable outlook
- Standard & Poor's: A-2 / BBB stable outlook

## Well-controlled capex

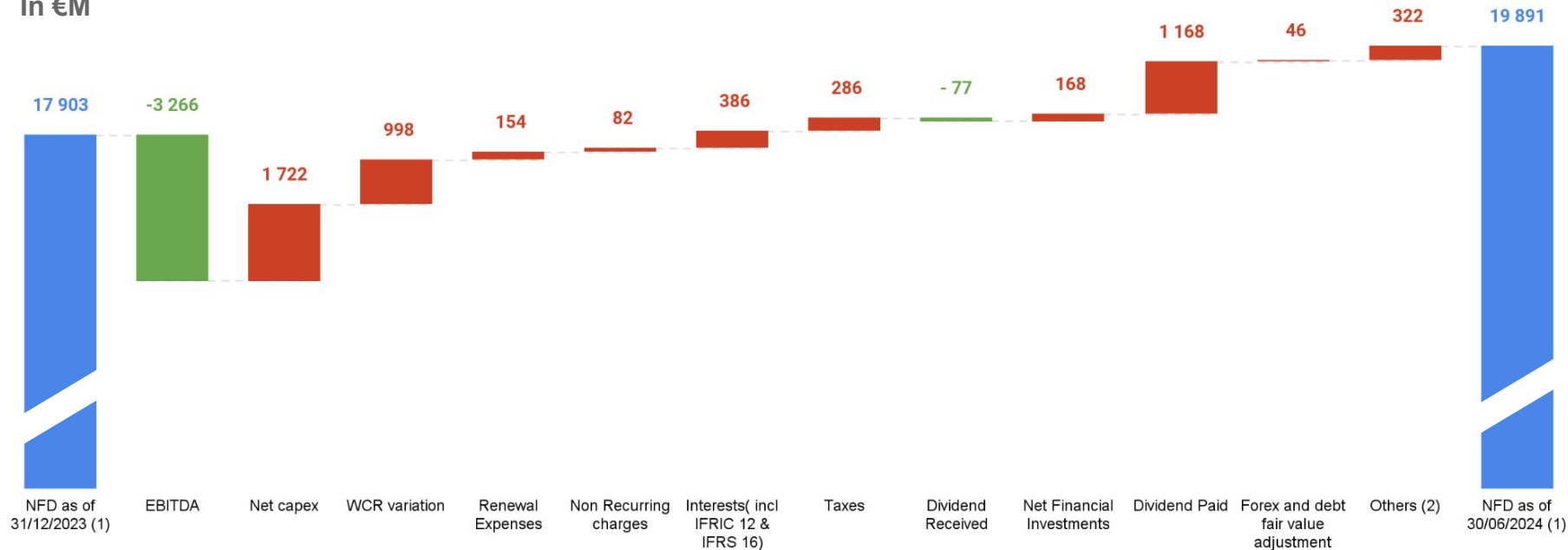
### Net capex in €M



(1) excluding PPA

# Net financial debt at 30/06/2024 of €19,891M <sup>(1)</sup>

In €M



<sup>(1)</sup> excluding PPA

<sup>(2)</sup> including hybrid impact for €209M

# Fully confirmed 2024 guidance

|                                         |                                                  |
|-----------------------------------------|--------------------------------------------------|
| <b>Revenue</b>                          | Continued organic solid growth <sup>(1)(2)</sup> |
| <b>EBITDA</b>                           | +5% to +6% organic growth <sup>(1)</sup>         |
| <b>Efficiency gains</b>                 | >€350M                                           |
| <b>Cumulated synergies 2022-2024</b>    | >€400M                                           |
| <b>Current Net income<sup>(3)</sup></b> | >€1.5bn                                          |
| <b>Leverage ratio<sup>(3)</sup></b>     | < 3x                                             |
| <b>Dividend policy</b>                  | Dividend to grow in line with current EPS        |

(1) at constant scope & forex

(2) excluding energy price impact

(3) before PPA

## Deep dives 2024

**Energy Deep Dive: 11 January 2024**

**Veolia in the US Deep dive: 18-19 April 2024**

**Water Technologies and new solutions : 17 October 2024 in Hungary**

# APPENDICES

# APPENDIX 1 : FOREX

| 1€ = xxx foreign currency | June 2023    |              | June 2024    |              | Variation      |                |
|---------------------------|--------------|--------------|--------------|--------------|----------------|----------------|
|                           | closing rate | average rate | closing rate | average rate | closing rate % | average rate % |
| US Dollar                 | 1.09         | 1.08         | 1.07         | 1.08         | -1%            | 0%             |
| Pound Sterling            | 0.86         | 0.88         | 0.85         | 0.85         | -1%            | -3%            |
| Australian Dollar         | 1.64         | 1.60         | 1.61         | 1.64         | -2%            | 3%             |
| Chinese Renminbi          | 7.90         | 7.48         | 7.77         | 7.80         | -2%            | 4%             |
| Czech Koruna              | 23.74        | 23.68        | 25.03        | 25.02        | 5%             | 6%             |
| Brazilian Real            | 5.28         | 5.48         | 5.89         | 5.49         | 12%            | 0%             |
| Canadian Dollar           | 1.44         | 1.46         | 1.47         | 1.47         | 2%             | 1%             |
| Argentinian Peso          | 278.62       | 228.98       | 976.65       | 929.92       | 251%           | 306%           |
| Japanese Yen              | 157.16       | 145.63       | 171.94       | 164.46       | 9%             | 13%            |
| South Korean Won          | 1435.88      | 1400.72      | 1474.86      | 1460.25      | 3%             | 4%             |
| Polish Zloty              | 4.44         | 4.63         | 4.31         | 4.32         | -3%            | -7%            |
| Hong Kong Dollar          | 8.52         | 8.47         | 8.36         | 8.45         | -2%            | 0%             |
| Chilean Peso              | 872.01       | 871.49       | 1012.18      | 1017.73      | 16%            | 17%            |

## APPENDIX 2 : Detailed H1, 2024

### Revenue by Strongholds & Boosters

| Revenues in €m                        | H1, 2023      | H1, 2024      | var at cst F/X & scope | var at cst F/X & scope, excl. energy prices |
|---------------------------------------|---------------|---------------|------------------------|---------------------------------------------|
| Stronghold Water operations           | 6,651         | 6,400         | +3.4%                  |                                             |
| Water operations, non regulated       | 5,436         | 5,578         | +3.5%                  |                                             |
| Municipal regulated (US & Chile)      | 686           | 658           | +4.1%                  |                                             |
| Construction (SADE)                   | 530           | 165           | +0.6%                  |                                             |
| Booster Water technologies            | 2,183         | 2,398         | +15.5%                 |                                             |
| <b>Total Water</b>                    | <b>8,834</b>  | <b>8,798</b>  | <b>+6.4%</b>           |                                             |
| Stronghold Solid waste                | 5,282         | 5,559         | +6.4%                  |                                             |
| Booster Hazardous waste               | 2,061         | 2,168         | +6.4%                  |                                             |
| <b>Total Waste</b>                    | <b>7,344</b>  | <b>7,728</b>  | <b>+6.4%</b>           |                                             |
| Stronghold Heating & Cooling Networks | 4,337         | 3,509         | -20.0%                 |                                             |
| Booster Local decarbonized energy     | 2,241         | 2,107         | -3.6%                  |                                             |
| <b>Total Energy</b>                   | <b>6,578</b>  | <b>5,615</b>  | <b>-14.4%</b>          | <b>-0.7%</b>                                |
| <b>Total Group</b>                    | <b>22,755</b> | <b>22,141</b> | <b>+0.4%</b>           | <b>+4.4%</b>                                |
| <b>Strongholds - total</b>            | <b>16,270</b> | <b>15,468</b> | <b>-1.9%</b>           | <b>+3.4%</b>                                |
| <b>Boosters - total</b>               | <b>6,485</b>  | <b>6,673</b>  | <b>+6.0%</b>           | <b>+6.9%</b>                                |

## APPENDIX 3 : Analysis by geography

### France and Hazardous Waste Europe : solid performance

| €M                          | H1 2023      | H1 2024      | Δ at constant scope and FX |
|-----------------------------|--------------|--------------|----------------------------|
| <b>Revenue of which</b>     | <b>4,795</b> | <b>4,531</b> | <b>+2.9%</b>               |
| Water France                | 1,432        | 1,492        | +4.5%                      |
| Waste France                | 1,459        | 1,482        | +2.0%                      |
| Hazardous Waste Europe      | 1,060        | 1 114        | +7.1%                      |
| Construction (SADE) & Other | 844          | 444          | -3.7%                      |
| <b>EBITDA</b>               | <b>636</b>   | <b>657</b>   | <b>+5.1%</b>               |
| <b>EBITDA margin</b>        | <b>13.3%</b> | <b>14.5%</b> |                            |

#### Comments

- **Water France:** growth driven by indexation (+4.6%), commercial momentum and works. Slightly lower volumes (-0.5%) due to rainy spring- Improved EBITDA fueled by efficiency actions
- **Solid Waste France:** growth driven by pricing, slightly better volumes (incineration and landfills), partially offset by continued commercial selectivity. Increase of recycled materials price since April.
- **Hazardous Waste Europe:** continued price increases and resilient volumes
- **Construction (SADE) & Other:** SADE divestiture closed on Feb. 29, 2024: -€368M of scope impact

## APPENDIX 3 : Analysis by geography

### Rest of Europe impacted by lower energy prices

| €M                         | H1 2023      | H1 2024      | Δ at constant scope and FX |
|----------------------------|--------------|--------------|----------------------------|
| <b>Revenue of which</b>    | <b>9,883</b> | <b>9,252</b> | <b>-7.7%</b>               |
| Central and Eastern Europe | 6,130        | 5,412        | -13.3%                     |
| Northern Europe            | 1,989        | 2,094        | +3.5%                      |
| Southern Europe            | 1,764        | 1,746        | -1.1%                      |
| <b>EBITDA</b>              | <b>1,341</b> | <b>1,361</b> | <b>+1.2%</b>               |
| <b>EBITDA margin</b>       | <b>13.6%</b> | <b>14.7%</b> |                            |

#### Comments

- **Central and Eastern Europe:** Impact of lower electricity prices and adverse weather in municipal energy partially offset by good water activity (volumes up 2.6%, increased indexations)
- **Northern Europe: continued very solid UK performance** driven by better landfill and C&I volumes (+3%), good pricing and indexations (+4% to +9%), strong EfW activity (availability of 94.6% vs. 93.4% in 2023 and higher electricity revenue thanks to hedging)
- **Southern Europe :** good performance of Water in Spain fueled by tariff increase (since April), volumes slightly down (-0.6%) due drought restrictions (recent improvement in Catalonia and Andalusia) partially offset by impact of tourism. Lower energy revenue in Spain and in Italy due to lower energy prices

## APPENDIX 3 : Analysis by geography

### Rest of the world: continued solid growth

| €M                        | H1 2023      | H1 2024      | Δ at constant scope and FX |
|---------------------------|--------------|--------------|----------------------------|
| <b>Revenue of which</b>   | <b>5,883</b> | <b>5,956</b> | <b>+6.5%</b>               |
| <b>Asia - Pacific</b>     | 2,268        | 2,226        | +2.1%                      |
| o/w Asia                  | 1,280        | 1,202        | -1.3%                      |
| o/w Pacific               | 988          | 1,025        | +6.5%                      |
| <b>Latin America</b>      | 955          | 945          | +25.9%                     |
| <b>North America</b>      | 1,631        | 1,683        | +2.6%                      |
| <b>Africa Middle East</b> | 1,030        | 1,102        | +4.1%                      |
| <b>EBITDA</b>             | <b>869</b>   | <b>926</b>   | <b>+11.5%</b>              |
| <b>EBITDA margin</b>      | <b>14.8%</b> | <b>15.5%</b> |                            |

#### Comments

- **Asia:** slow recovery in China, but strong performance in Taiwan and Hong Kong (waste), Japan (municipal water)
- **Pacific:** Good volumes/commercial wins and tariff increases in waste
- **Latin America:** good waste volumes (notably in Brazil, Columbia) and price increases..
- **North America:** strong Water (rate case increases and higher volumes) and continued solid hazardous waste performance driven by pricing

## APPENDIX 3 : Analysis by geography

### Water Technologies: continued very strong growth

| €M                   | H1 2023      | H1 2024      | Δ at constant scope and FX |
|----------------------|--------------|--------------|----------------------------|
| <b>Revenues o/w</b>  | <b>2,182</b> | <b>2,398</b> | <b>+15.5%</b>              |
| VWT                  | 731          | 770          | +9.7%                      |
| WTS                  | 1,452        | 1,628        | +18.4%                     |
| <b>EBITDA</b>        | <b>233</b>   | <b>279</b>   | <b>+31.3%</b>              |
| <b>EBITDA margin</b> | <b>10.7%</b> | <b>11.6%</b> |                            |

#### Comments

- Revenue and EBITDA growth driven by all activities and regions (notably North America and Middle East)
- Very strong bookings in H1 of €2,832M, incl. major contract wins in Q1 : Hassyan desalination, US contracts

## APPENDIX 4: Net financing rate

- **Cost of net financial debt of €331M vs. €312M at June 30, 2023**
  - Slightly higher in H1 2024 due to a favorable one off in H1 2023 for +€17M
- **Stable net financing rate excluding one offs** (3.87% in June 2023 and 3.83% in June 2024)

| In €M                                                                        | June 2023     | June 2024     |
|------------------------------------------------------------------------------|---------------|---------------|
| Average gross debt <sup>(1)</sup>                                            | 26,230        | 25,852        |
| <b>Gross cost of borrowing</b>                                               | <b>3.13%</b>  | <b>3.77%</b>  |
| Average cash balance                                                         | 9,496         | 8,859         |
| <i>Interest rate</i>                                                         | 3.17%         | 3.65%         |
| Average cash balance excluding commercial paper                              | 6,027         | 3,767         |
| Average bank overdrafts                                                      | 293           | 287           |
| <b>Average net financial debt<sup>(2)</sup></b>                              | <b>17,027</b> | <b>17,280</b> |
| <b>Cost of debt (PPA excluded)</b>                                           | <b>-312.1</b> | <b>-330.8</b> |
| <b>Net financing rate</b>                                                    | <b>3.67%</b>  | <b>3.83%</b>  |
| <b>Closing net financial debt<sup>(3)</sup> excl. IFRS 16 (PPA excluded)</b> | <b>17,163</b> | <b>17,942</b> |
| <b>Closing NFD incl. IFRS 16 (PPA excluded)</b>                              | <b>19,233</b> | <b>19,891</b> |
| <b>Net financing rate incl. IFRS 16</b>                                      | <b>3.57%</b>  | <b>3.77%</b>  |

(1) excluding bank overdrafts, IFRS 16, and PPA impacts

(2) average net financial debt represents the average of monthly net financial debt figures over the period

(3) net financial debt represents gross financial debt (non current and current financial debt and bank overdrafts), net of cash and cash equivalents, liquid assets and assets related to financing and including the revaluation of debt hedging derivatives. Liquid assets are financial assets consisting of funds or securities with initial maturity of more than three months, easily convertible into cash, and managed as part of a liquidity objective, while maintaining a low risk of capital excluding IFRS 16 impacts

## APPENDIX 5: Debt management

- **Smooth debt repayment schedule:**
  - Repayment in January 2024 of €750M bearing a coupon of 0.892%
  - €461M repaid in July 2024
- **87% of NFD at fixed rate**  
(€3.2bn variable rate bonds) and 6% inflated rate
- **Group liquidity:**
  - €15.4bn including €5.9bn in undrawn confirmed credit lines (without disruptive covenants)
  - Net Group liquidity: €5.5bn
- **Average maturity of net financial debt:**  
6.3 years at 30/06/2024 vs. 6.8 years at 30/06/2023

### Solid investment grade rating



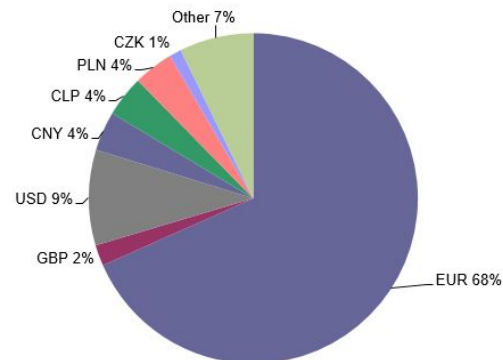
**Moody's:** P-2/ Baa1, stable outlook



**Standard & Poor's:** A-2 / BBB, stable outlook

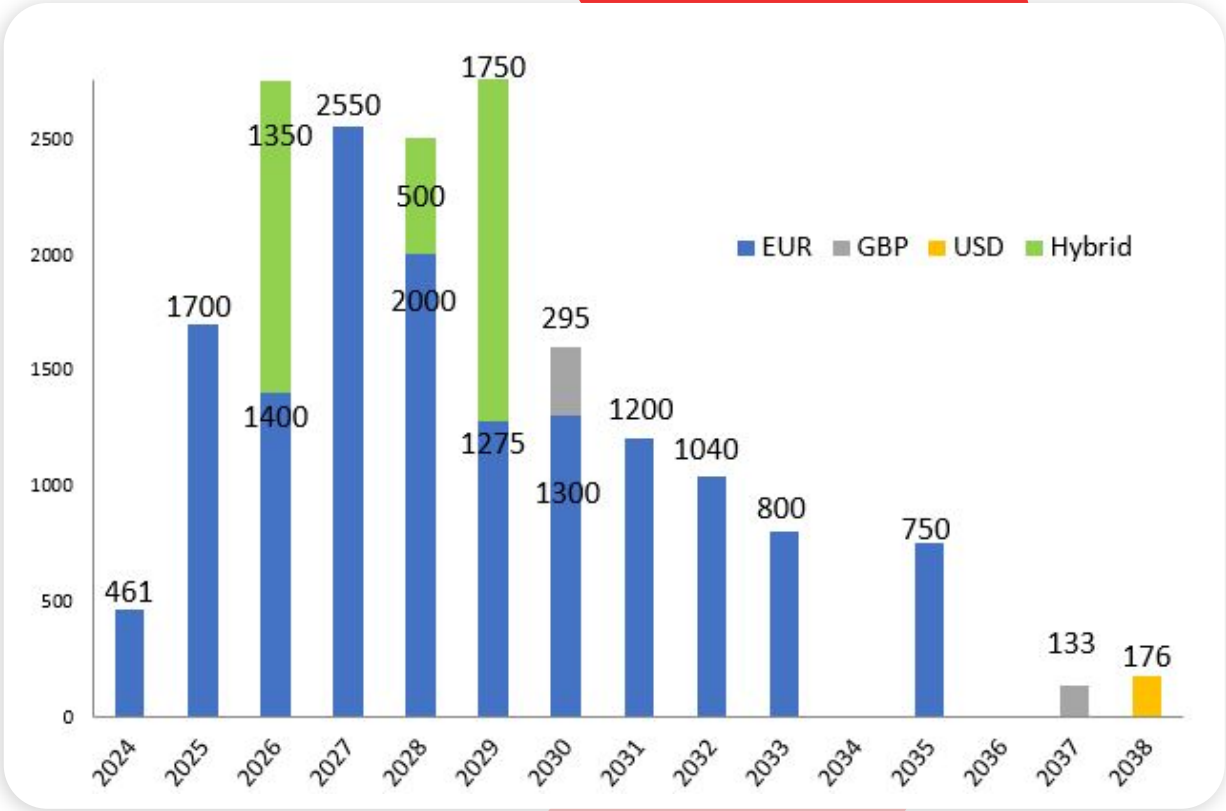
### NFD after hedges at June 30, 2024

**Currency breakdown of gross debt**  
(after hedges) at June 30, 2024



**Leverage ratio to remain <3.0x  
at the end 2024**

# APPENDIX 6: Combined debt profile (at June 30, 2024)



## APPENDIX 7

### Net liquidity

| In €M                                                        | June 2023       | June 2024       |
|--------------------------------------------------------------|-----------------|-----------------|
| Syndicated credit lines                                      | 4,500.0         | 4,500.0         |
| Bilateral credit lines                                       | 801.4           | 719.8           |
| Lines of credit                                              | -               | -               |
| Cash and cash equivalents                                    | 7,281.5         | 7,424.5         |
| <b>Total Veolia</b>                                          | <b>12,582.9</b> | <b>12,644.3</b> |
| <b>Subsidiaries</b>                                          |                 |                 |
| Bilateral credit lines                                       | 224.9           | 650.1           |
| Cash and cash equivalents <sup>(1)</sup>                     | 2,619.5         | 2,087.2         |
| <b>Total Subsidiaries</b>                                    | <b>2,844.4</b>  | <b>2,737.3</b>  |
| <b>Total Group liquidity</b>                                 | <b>15,427.3</b> | <b>15,381.6</b> |
| <b>Current liabilities and bank overdrafts<sup>(2)</sup></b> | <b>8,016.2</b>  | <b>9,906.2</b>  |
| <b>Total net Group liquidity</b>                             | <b>7,411.1</b>  | <b>5,475.4</b>  |

(1) including liquid assets

(2) of which IFRS 16 impact

## APPENDIX 8

### Statement of cash flows

1. Including principal payments on operating financial assets
2. **In 2024:** dividends paid to shareholders (-€895M), to non-controlling interests (-€207M) and to hybrid bond holders (-€67M)
3. **In 2024:** including -€421M of financial investments (o/w Hofman in Germany) and +€253M of financial divestments (of which Sade and Haikou).
4. **In 2024 :** Variation of CO2 payments and variation of NFD PPA adjustments

| In €M                                                                     | June 2023     | June 2024      |
|---------------------------------------------------------------------------|---------------|----------------|
| EBITDA <sup>(1)</sup>                                                     | 3,162         | 3,266          |
| Net industrial investments                                                | -1,695        | - 1,722        |
| WCR variation                                                             | -821          | -998           |
| Dividends received                                                        | +115          | +77            |
| Renewal expenses                                                          | -153          | -154           |
| Restructuring and other non current charges                               | -94           | -82            |
| Taxes paid                                                                | -362          | -286           |
| Interest paid (incl. IFRIC 12 & IFRS 16)                                  | -229          | -386           |
| <b>Net FCF before dividends, acquisitions &amp; financial divestments</b> | <b>-78</b>    | <b>-284</b>    |
| Dividends paid <sup>(2)</sup>                                             | -1,020        | -1,168         |
| Financial investments, net of divestitures <sup>(3)</sup>                 | +226          | -168           |
| Other <sup>(4)</sup>                                                      | -34           | -113           |
| Hybrid bond                                                               | 0             | -209           |
| Impact of exchange rates and variation of fair value                      | -189          | -46            |
| <i>Variation of net financial debt</i>                                    | <i>-1,095</i> | <i>- 1,988</i> |
| Opening net financial debt excl. PPA                                      | 18,138        | 17,903         |
| Closing net financial debt excl. PPA                                      | 19,233        | 19,891         |

## APPENDIX 9

### Consolidated statement of financial position

| In €M                                                | June 2023     | June 2024     |
|------------------------------------------------------|---------------|---------------|
| Intangible Assets                                    | 20,148        | 19,803        |
| Property, Plant & Equipment                          | 16,958        | 17,160        |
| Other non-current assets                             | 6,342         | 6,137         |
| Operating financial assets (current and non-current) | 1,368         | 1,363         |
| Cash and cash equivalents                            | 7,900         | 7,527         |
| Other current assets                                 | 18,636        | 19,456        |
| <b>Total Assets</b>                                  | <b>71,352</b> | <b>71,447</b> |
| Capital (including non-controlling interests)        | 14,289        | 14,418        |
| Financial debt (current and non-current)             | 29,882        | 29,897        |
| Other non-current liabilities                        | 7,034         | 6,799         |
| Other current liabilities                            | 20,147        | 20,333        |
| <b>Total Liabilities &amp; Shareholders Equity</b>   | <b>71,352</b> | <b>71,447</b> |

# APPENDIX 10

## Leading ESG rankings

### GENERAL ESG

**S&P Global:** N°1 in the Multi and Water Utilities industry, selection in the DJSI World and Europe, "Top 1%" in the Sustainability Yearbook 2024

**Moody's Analytics:** Leader in Waste & Water utilities industry with a score of 72 vs. a sector average of 53

**ISS-ESG:** Prime and 1st decile (B rating) in the Multi Utilities industry

### CLIMATE PERFORMANCE AND REPORTING

**CDP Climate change:**  
A- , Leadership band

**CDP Water security:**  
A- , Leadership band

**TCFD**

**SBTi and Moody's**  
validation

### RESPONSIBLE SUPPLIER

98th percentile by Ecovadis (2022)

### BIODIVERSITY

TNFD early adopter  
Act4 Nature international

**ESG report 2024**

[ESG report 2024](#)

**Climate report 2024**

[Climate report 2024](#)

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